

CNET News.com, January 17, 2006

Are Virtual Assets Taxable?

COULD YOU BE taxed for income you receive by selling things that don't exist? News.com's Daniel Terdiman ponders.

Journalist and "Ultima Online" junkie Julian Dibbell issued himself a very public challenge two years ago.

"On April 15, 2004, I will truthfully report to the IRS that my primary source of income is the sale of imaginary goods," Dibbell wrote on his blog at the time, "and that I earn more from it, on a monthly basis, than I have ever earned as a professional writer."

Essentially, he was telling the world he thought he could make a profit selling to other players in the real world the weapons, currency and other goods he had accumulated in the fantasy game "Ultima Online," and that he was willing to tell the IRS so. He ultimately came up short in his personal challenge, making more from his writing, in fact, than from his online trafficking.

Now, with a new article published in the latest issue of Legal Affairs magazine, Dibbell has the virtual-world community buzzing over a new question: Should online game players' assets—the weapons, characters, clothing and such—they've accumulated but not yet sold for real-world cash be taxable by the IRS?

"If you haven't missed hours battling an Arctic Ogre Lord near an Ice Dungeon or been equally profligate spending time reading the published works of the Internal Revenue Service," Dibbell's essay begins, "you probably haven't wondered whether the United States government will someday tax your virtual winnings from games played over the Internet. The real question is: Why hasn't it happened already?"

It's a question insiders at academic conferences like State of Play that study online games have been talking about for some time.

After all, since the trafficking of virtual goods from games like "World of Warcraft," "City of Heroes" and "Star Wars Galaxies" on exchanges like eBay sets their fair market value, the millions of online game players are collectively holding tens or even hundreds of millions of dollars' worth of these digital assets at any one time. And some would say that's a target the IRS can't ignore forever, raising the tricky question of whether virtual goods that are frequently bartered and exchanged in the gaming world can be deemed a taxable possession before they are sold for real-world money.

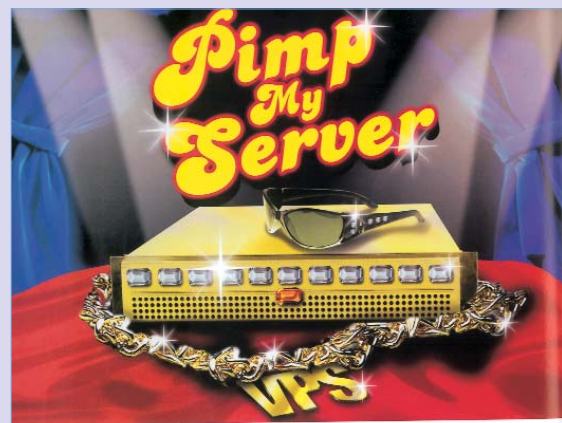
While most online game publishers try to sidestep the issue by saying in their terms of service that players don't control the property rights to their game assets, some say there's no theoretical reason the government shouldn't come calling for its fair share.

"From the standpoint of economic theory...there's no fundamental distinction between selling euros and buying magic wands," said Ted Castronova, an expert on virtual economies and an associate professor of telecommunications at the University of Indiana at Bloomington. "They carry value with them. If you're going to tax exchanges in the real world, you've got to tax exchanges in the virtual world, in economic theory."

The problem, said Castronova, is that it's not about economics.

"It's about common sense," he said. "Common sense says that when people are playing a game of Monopoly, you don't tax (the properties they buy and sell)."

For the complete column, visit <http://snipurl.com/mediafeb2>



Virtual Private Servers from WebFusion

The configurable, customisable step-up from shared hosting

Next generation hosting is here. VPS gives you complete control and root access to your own server environment. Each VPS performs like a stand-alone server. It can be rebooted independently and has its own users, IP addresses, memory, processes, files, applications, system libraries and configuration files. A crashed application in another client's VPS has no effect on your VPS. VPS gives all the flexibility of dedicated hosting with the same ease-of-use and low cost traditionally found with our shared web hosting. With prices starting as low as £2.99 a month, a WebFusion virtual private server is within everyone's reach.

- Customisable environment with root access
- Hosted on enterprise grade Dell R515 Blade servers
- Peak control panel to manage your server
- Host up to 100 domains per VPS
- 1 month free trial plus 2 months free when you pay annually



WEBFUSION FOR ALL YOUR HOSTING NEEDS
Shared, VPS or Dedicated - prices from £2.99 a month

WebFusion

www.webfusion.co.uk 0800 0317 800

Who said server ads were boring?

We were pleasantly surprised to see WebFusion using a rather unorthodox method to promote their Virtual Private Servers. So don a little gaudy jewellery and say it with pride: "I'm a geek, yo!"

CINEMA 4D R9.5

"More power, more speed, more price." That was our goal. Here is the result.

New light sources and settings (e.g. Ambient Occlusion and Area Lights) make even more realistic images possible - all speeds of up to four times faster than with CINEMA 4D R8.5. So that you can take full advantage of this new level in image quality, CINEMA 4D can now output images in glorious 32 bits per channel colour depth. And there's an additional multi-pass link to the high-end compositing tool Shake.

CINEMA 4D is now even easier to use and more efficient. The new full-screen mode lets you move windows, and the new Context Browser gives you a complete overview of all your 3D files.

A particular highlight of the Advanced Render module is SKY. With just a few clicks of the mouse, SKY lets you create and animate realistic high-end atmospheric environments, including customizable 3D clouds.

Visit us online for more exciting details and to see what else is new in CINEMA 4D R9.5.

WWW.MAXON.NET

MAXON

Making your heart melt

We count on 3D software developers to come up with new and innovative ways to show off their software's capabilities, but this one still caught our eye. Who needs text when you can make puppy-dog eyes at your customer?